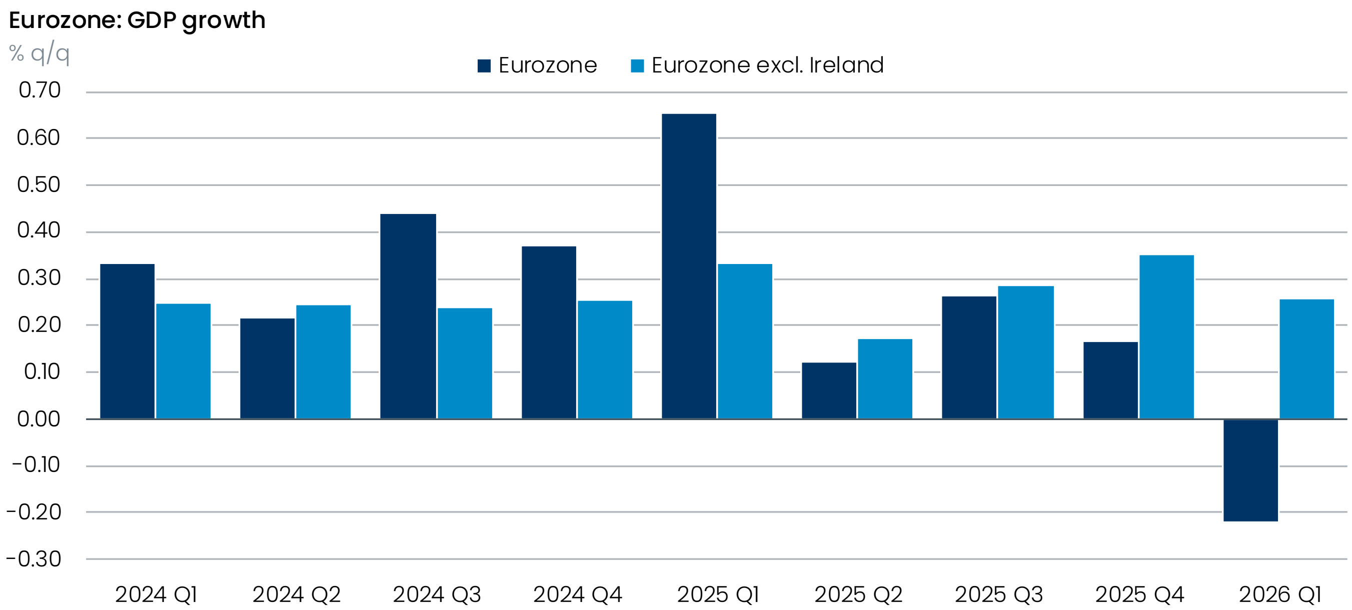
Irish GDP pushed Q1 growth negative

- **Eurozone GDP contracted 0.2% q/q in Q1 2026 following a revised significant contraction in Irish GDP. We think Eurozone GDP excluding Ireland will stagnate in Q2 given weak prospects for private demand creation.**
- **Excluding the effect of Irish GDP, Eurozone growth remains remarkably steady at around 0.2% per quarter. But the Q1 reading was flattered by inventory frontloading ahead of impending supply disruption and higher prices. We think this effect will reverse in Q2.**

Eurozone GDP growth was revised down from a very lukewarm expansion to a 0.2% contraction owing to a staggering 12.1% contraction in Ireland. Excluding Ireland, the economy rose by 0.3%. Despite all the big four economies except France expanding, government consumption had to do most of the heavy lifting with private consumption rising only 0.2% and fixed investment contracting slightly. Activity was also likely boosted temporarily by inventory frontloading as firms got ahead of supply disruptions, alongside higher defence spending.

Recent batches of both soft and hard data suggest that the worst of the impact on growth from the current supply and inflation shock is yet to come. The broad-based decline in April retail sales suggests that the sharp drop in consumer confidence is already feeding into consumer spending. Recent resilience in manufacturing data is unlikely to last given the influence of one-off factors, while services PMI prints now suggest contraction across the Eurozone economy. Impending rate hikes by the ECB will add an additional constraint to an already lacklustre lending environment. With global oil prices now set to be higher than our previous baseline for the remainder of the year, our updated forecast – to be released next week – will likely see Eurozone GDP excluding Ireland stagnating in Q2. Private consumption is likely to contract over the quarter.

Chart 1: Eurozone GDP excluding Ireland rose in Q1, although this was boosted by one-off factors



Sources: Oxford Economics, Haver Analytics

Rory Fennessy | Senior Economist | rfennessy@oxfordeconomics.com